MONARCH NETWORTH CAPITAL

INITIATING COVERAGE

indegene

JULY 2024

Research Ananlyst Shiwani Kumari NISM-201800182620

MONARCH NETWORTH CAPITAL

Indegene Limited I BUY I TP: INR 660

Revolutionizing Life Sciences' Marketing Way

We initiate coverage on Indegene with a Buy rating and a Target Price of INR 660, a potential upside of c.18%. A leading and the only listed med-tech company, Indegene continues to be at the frontier of healthcare and technology, partnering closely with life sciences firms to optimize 30-40% of operational spending through advanced digital solutions. Given the healthcare sector's relatively slow adoption of digitalization, Indegene is well-positioned to benefit from industry tailwinds in a market estimated at US$ 156bn, growing at a 6.5% CAGR between CY22-26. With a history of agile market navigation, and effectively leveraging off a series of acquisitions, Indegene pioneers digital commercialization, distinguishing itself from traditional players by operating as a virtual sales organization.

- **Proven track record of delivering value to life science companies.** With a predominant presence in North America and Europe, contributing 90%+ to its revenue, Indegene collaborates closely with major global pharma firms across various stages of commercialization journey, pivotal to the success of their drug launches. Leveraging a global delivery model, and AI solutions, Indegene is revolutionizing drug discovery and marketing efforts, achieving notable reduction in cost and time to market. *We highlight case studies that underscore the transformative impact of Indegene's offerings in enhancing client outcomes.*
- **Driving Growth through Strategic Acquisitions and Client Value.** Since its inception, Indegene has strategically expanded through 12 acquisitions, each adding synergistic value. With a proven track record of generating healthy cashflows, Indegene actively acquires businesses to bolster its capabilities, technology and operational efficiency. This blend of inorganic and organic growth strengthens its position as a leading digital partner to life sciences companies. *The acquisition of Cult Health has significantly boosted segmental revenue, showcasing value-added impact of its acquisition (details in report).*
- **Life science companies embracing digitization and collaboration.** Traditionally, the life sciences sector has been slower in adopting technology, but recent years have witnessed a notable shift as these companies prioritize digital innovation and enterprise-wide transformation to boost operational efficiencies. *In 2022, marketing & sales accounted for the highest operational spend, estimated at US$ 55bn, comprising c.36% of the overall life sciences operations expenses with low outsourcing penetration at 7-12%.* Outsourcing is slated to grow at 14%+ CAGR from 2021 to 2026, indicating significant potential for expansion. *Through interactions with medical practitioners in the US and Europe, we've confirmed the alignment and efficacy of Indegene's offerings.*
- **Valuation & Views.** At CMP, the stock is trading at 25x FY26E and 21x FY27E. We value Indegene 28x Jun'26E earnings of INR 23.7 based on a detailed comparison with global healthtech (CROs and CSOs) and mid-sized Indian IT Players trading at 22.4x and 30.5x FY26E earnings, respectively, to arrive at our TP of INR 660. Focused solely on life sciences, Indegene holds a virtual monopoly in its niche compared to broader IT players. A slight ~10% discount from Indian IT peers factors in life sciences sector's post-pandemic slowdown. However, increasing outsourcing penetration promises growth opportunities for Indegene, supporting our valuation rationale. *Additionally, we have corroborated our assessment using DCF-based valuation and evaluating MapmyIndia, a new-age tech company, currently trading at 55x FY26 earnings.*

Target price	660
CMP*	550
Upside	18%

Price Performance (%)	1M	6M	1Yr
Indegene	1.8	NA	NA
Nifty	5.1	13.4	26.2

Key Data	
Bloomberg Code	INDGN:IN
Curr Shares O/S (mn)	239.3
Diluted Shares O/S (mn)	239.3
Mkt Cap (INRbn/USDbn)	134/1.6bn
52 Wk H / L (Rs)	660/468.9
3M Average Vol. (thd)	2,020

Source: Bloomberg, NSE, Company

Shareholding pattern

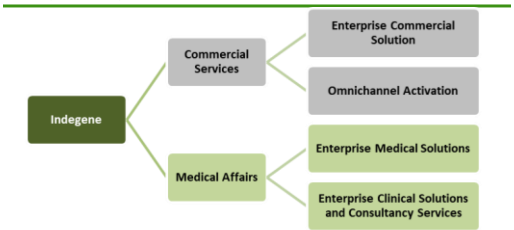
Particulars	Mar-24
Key Managerial Personnel	**25.9%**
Private Equity Investors	**48.4%**
Nadathur Group	*24.4%*
Carlyle-backed Dawn Investments	*14.5%*
Brighton Park Capital	*9.6%*
DIIs	**5.3%**
FPIs	**3.6%**
Public and ESOPs	**16.8%**

Source: BSE

Why should you read this report?

- *Transformations in Life Science industry*
- *Indegene's track-record in achieving consistent results through case studies and channel checks*
- *Evolving competitive landscape*

Indegene Segments



Source: Company, MNCL Research

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Y/E (INR in mn)	Revenue	YoY (%)	EBITDA	EBITDA (%)	PAT	PAT (%)	EPS	RoAE	RoCE	P/E (x)	EV/EBITDA (x)
FY22	16,897	72.3%	3,120	18.5%	1,628	9.6%	7.50	21.0%	42.5%	82.3x	43.6x
FY23	23,538	38.5%	4,439	18.9%	2,661	11.3%	12.03	24.5%	29.2%	50.4x	30.7x
FY24	26,363	12.3%	5521	20.9%	3,367	12.8%	15.19	23.1%	26.1%	39.8x	24.7x
FY25E	30,488	15.1%	6,717	22.0%	4,330	14.2%	18.10	22.7%	29.7%	30.9x	20.3x
FY26E	35,481	16.0%	7,992	22.5%	5,412	15.3%	22.62	22.0%	30.8%	24.8x	17.0x
FY27E	41,550	16.6%	9,471	22.8%	6,407	15.4%	26.78	20.4%	29.1%	20.9x	14.4x

Source: Company, MNCL Research estimates

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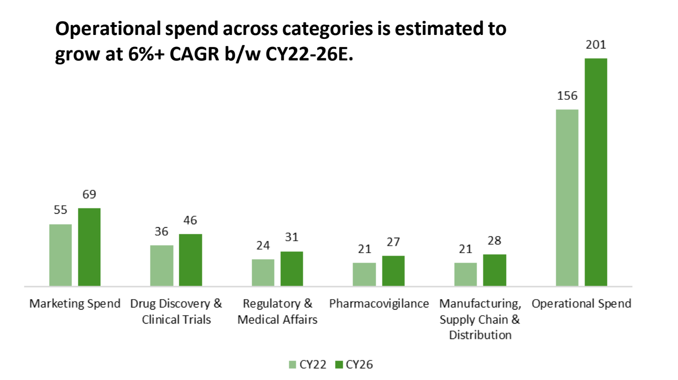
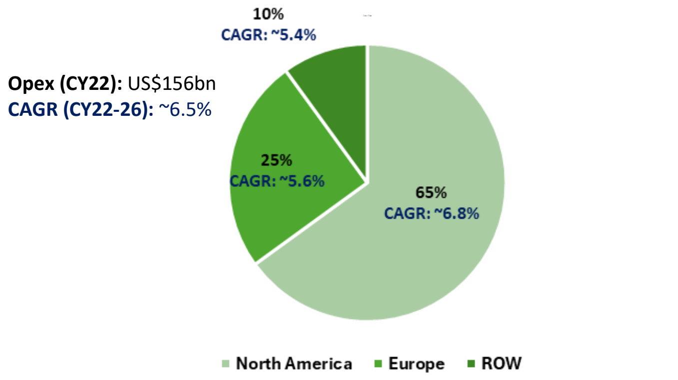
Investment Thesis in Charts

Exhibit 1: Life science companies' operational spend to grow at 6.5% CAGR CY22-26E (US$ bn)



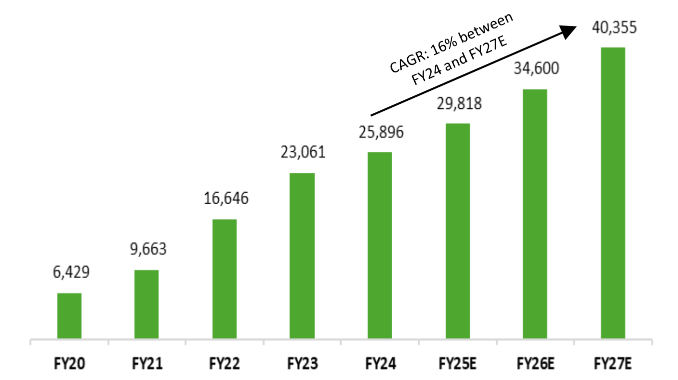
Source: MNCL Research

Exhibit 2: Life Sciences operation market size - by Geography



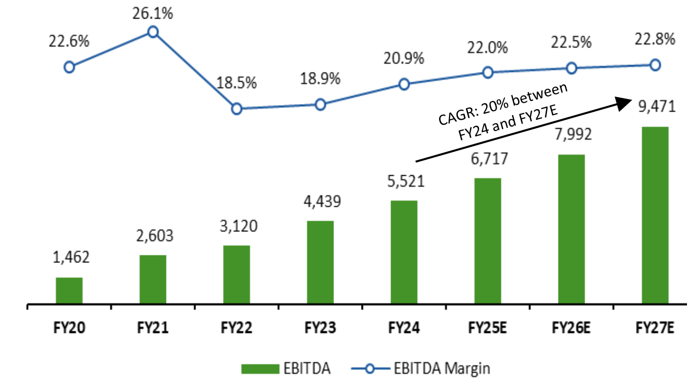
Source: MNCL Research

Exhibit 3: Indegene Operating Revenue (INR mn)



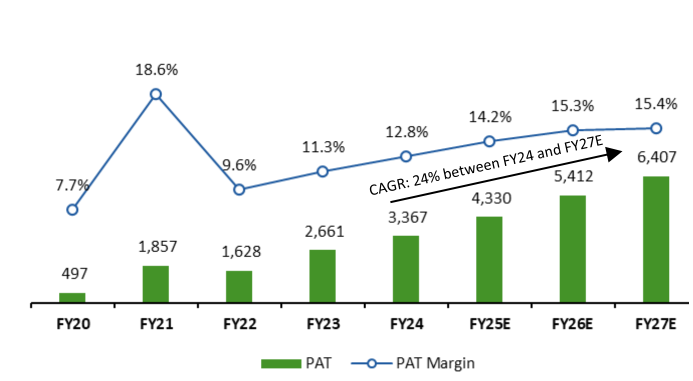
Source: MNCL Research

Exhibit 4: Indegene EBITDA Growth and Margins (INR mn)



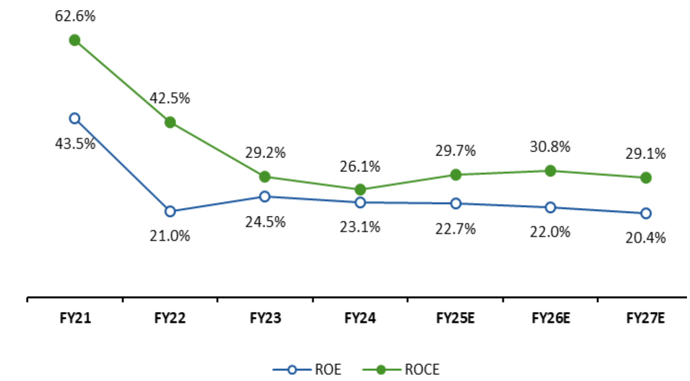
Source: MNCL Research

Exhibit 5: Indegene PAT Growth and Margins (INR mn)



Source: Company, MNCL Research Estimates

Exhibit 6: Return Ratios



Source: Company, MNCL Research Estimates

Frequently Asked Questions

1. What are Indegene's core offerings?

Ans: Indegene enhances commercialization, medical affairs, and patient engagement for life sciences and pharmaceutical companies. They optimize marketing operations through digital adoption, content deployment, and technology standardization, streamlining global agency tasks into regional or global models for efficiency gains. Leveraging real-world data, Indegene centralizes patient insights across multiple sources to enhance analytics and improve understanding of patient behavior and outcomes. This integrated approach supports pharmaceutical companies in making informed decisions and refining patient care strategies.

We have engaged with medical practitioners across international markets, including the US and Europe, to assess trends in healthcare industry digitization. Key findings include:

- Pharmaceutical companies, traditionally reliant on in-house and agency-driven sales and marketing, are now pivoting towards online campaigns and omnichannel strategies.
- Centralizing operations is yielding substantial cost savings as life sciences firms streamline global platforms to eliminate redundancies.
- Heightened regulatory scrutiny underscores the need for specialized expertise in filing and documentation processes.
- Innovators are increasingly focusing on cutting-edge solutions such as gene and cell therapy, targeted therapy, etc., prompting collaborations and expanding outsourcing opportunities in the industry.

2. Is Indegene replacing medical representative through its offerings?

Ans: Indegene's offerings in digital transformation and healthcare services are indeed shaping how pharmaceutical companies engage with healthcare professionals and stakeholders. While they are not directly replacing medical representatives, they are augmenting traditional sales and marketing approaches with digital solutions. For example, Indegene's digital platforms and analytics enable more targeted and personalized interactions with healthcare providers, improving efficiency and effectiveness in reaching key stakeholders. This transformation allows pharmaceutical companies to optimize their resources, enhance customer engagement, and adapt to changing market dynamics more effectively.

3. What factors contribute to Indegene's competitive edge in the life sciences industry?

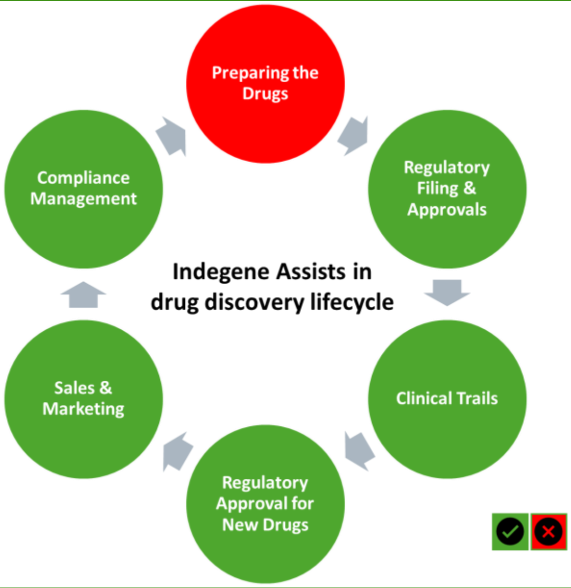
Ans: Indegene does not have a direct competitor but indirectly competes with internal sales and marketing departments, information technology departments and other healthtech companies. Indegene's specialization in commercialization services within the healthtech landscape sets it apart from many competitors whose core offerings might be more focused on clinical research or broader technology solutions. This niche allows Indegene to provide targeted expertise and support across the entire commercial lifecycle of pharmaceutical and healthcare products, distinguishing them in the marketplace. Their focus on digital transformation, analytics, and consulting specifically tailored to commercialization further enhances their competitive edge in addressing the unique needs of their clients in the life sciences industry.

Understanding Company: Commercial Service Provider

Indegene is a provider of digital-led commercial services to the life science industry, including biopharmaceutical, biotech, and medical devices companies. Their portfolio of solutions covers all aspects of commercial, medical, regulatory, and R&D operations of life sciences companies.

Clients partner with Indegene to design, build, and manage digital-first operations. These operations use data and automation to speed up clinical development, improve regulatory compliance, enhance customer experience, and drive commercial success.

Exhibit 7: Drug Discovery Lifecycle and Indegene's Offerings



Source: Company, MNCL Research

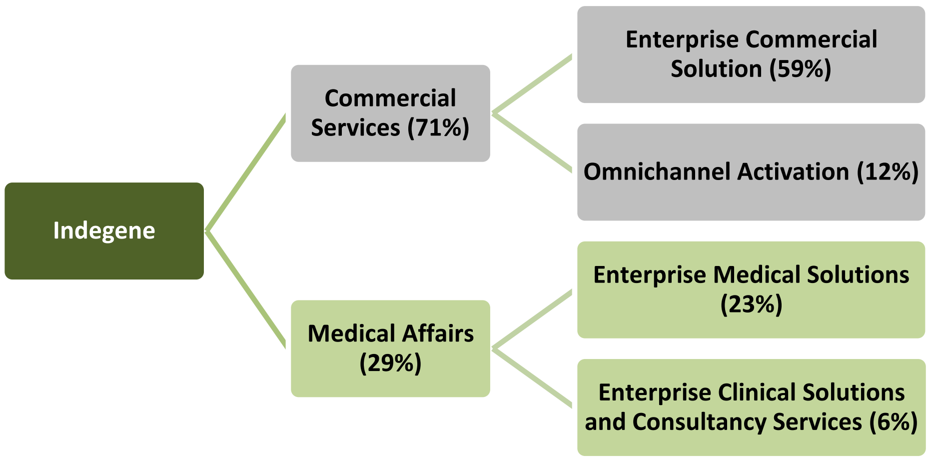
Indegene assists in the following functions through its proprietary tool called 'NEXT':

- **Content management**. Help create, compare, and organize life sciences content. The platform has numerous use cases such as reviewing and approving documents, measuring content effectiveness, analyzing data, reusing and repurposing regulatory, medical, educational, and promotional materials, and creating new contents.
- **Customer data management & advanced analytics**. Integrate data from various sources, including CRM, sales and marketing, channel data, prescription data, and real-world data like medical claims and electronic medical records, which is then converted into analytics-ready datasets.
- **Clinical trials.** Assist in patient recruitment and support evidence-based trial design. They combine data from various sources, like health economics, outcomes research, and medical claims, to model disease conditions and progression in real-world patients using predictive algorithms.
- **Workflow management**. Assist in workflow management in various functions in the life sciences commercialization process, including multi-channel engagement planning, marketing operations demand management, and omnichannel campaign design and execution.
- **Safety and pharmacovigilance**. Process adverse event data into structured fields for safety databases, which are used to create regulatory documents. By automating the conversion to structured data, it aims to streamline the human-intensive process of pharmacovigilance.
- **Regulatory intelligence and planning**. Assist in medical, regulatory, and legal review processes at various levels.

Business Segment Overview

Indegene operates in two broad segments including commercial and medical affairs related services. The commercial segment contributes to 71.4% of total operating revenue as of FY24.

Exhibit 8: Indegene Segments (% as of FY24 Operating Revenue)



Source: Company, MNCL Research

(a) Enterprise Commercial Solution (ECS): Services offered include strategy & consulting, creatives & content services, marketing operations, data & analytics, and patent services.

Clients benefit from Indegene's global experience in enabling commercial transformation and implementing cutting-edge technology worldwide.

- Assists life sciences companies in digital marketing operations by creating customized marketing plans and campaigns by generating promotional content based on approved clinical trial data.
- Provides digital asset management, marketing automation, customer data management and analytics solutions to measure the effectiveness of marketing campaigns.
- Drives scale efficiency and provides technology and analytics enabled personalization of engagement strategies for healthcare professionals and patients, and operations.
- Assists clients in consolidating fragmented activities involved in the development of promotional and educational content, as well as the design and execution of marketing campaigns directed at Healthcare Professionals (HCP), i.e., physicians, and patients using digital communication across multiple channels.

Exhibit 9: ECS c.60% of total operating revenue

Particulars	FY20	FY21	FY22	FY23	FY24	3 Yrs CAGR
ECS Revenue	**3,438**	**5,646**	**10,162**	**13,569**	**15,287**	**39.4%**
% of revenue	*53%*	*58%*	*61%*	*59%*	*59%*	
YoY Growth	-	*64%*	*80%*	*34%*	*13%*	
ECS Profit	***640***	***1,515***	***1,950***	***2,895***	***3,627***	***33.8%***
Margins	*19%*	*27%*	*19%*	*21%*	*24%*	
YoY Growth	-	*137%*	*29%*	*48%*	*25%*	

Source: Company, MNCL Research

(b) Omnichannel Activation: Services offered include Omnichannel medical strategy, customer experience journey, omnichannel workshops, and full-service marketing agency.

Enterprise Commercial Services caters more at enterprise level whereas Omnichannel is more brand/campaign specific offerings.

- ***Indegene plays the role that has traditionally been played by medical representatives who promote products to HCPs through face-to-face interactions.*** Using digital technologies and proprietary analytics, Indegene seeks to achieve the same outcome at higher efficiencies and reduced costs.
- Helps life sciences companies leverage a "digital first" approach for optimizing the last-mile promotion of biopharmaceutical products and medical devices to HCPs across multiple channels such as emails, virtual sales representatives, social media and other digital platforms.

Over the past eight years, Indegene has transcended from being a tactical ally to a truly strategic partner, supporting clients in their journey toward global omnichannel excellence. Leveraging their deep domain expertise and technology-driven omnichannel content production capabilities, Indegene helps the customer standardize and scale a future-ready content supply chain. This empowered them to ***service 60+ markets, 30+ brands, and 15+ channels****, delivering a superior customer experience at scale.*

Exhibit 10: Impact of Indegene's digital solutions

100K+	35%↓	60%	45%↑
Assets created	Time to market	Assets reused	Cost savings

Source: Company, MNCL Research

Exhibit 11: Omnichannel Activation c.12% of total operating revenue

Particulars	FY20	FY21	FY22	FY23	FY24	3 Yrs CAGR
OA Revenue	**614**	**787**	**1,414**	**2,827**	**3,191**	**59.4%**
% of revenue	10%	8%	8%	12%	12%	
YoY Growth	-	28%	80%	100%	13%	
OA Profit	**184**	**31**	**44**	**180**	**256**	**102.6%**
Margins	30%	4%	3%	6%	8%	
YoY Growth	-	-83%	42%	312%	42%	

Source: Company, MNCL Research

(c) Enterprise Medical Solutions (EMS): Services offered include omnichannel medical strategy, and material review operations and compliance.

- Indegene's tools improve the quality of medical content, ensure regulatory compliance, and enable scalable operations without increasing headcount. Through established Centers of Excellence (CoEs), Indegene consolidates large-scale regulatory and medical operations for clients. These CoEs consist of multidisciplinary teams that work on various client projects in the following areas:
  - » Writing medical content, regulatory submissions, product labels and other medical information.
  - » Reviewing medical communications to ensure compliance with regulatory guidelines and ethical practices.
  - » Pharmacovigilance services, i.e., the monitoring and processing of adverse occurrences arising from the use of biopharmaceutical products.
  - » Conducting real-world evidence (RWE) based medical research to support market access and pricing strategies.

Reduce pharmacovigilance operations cost*: Indegene empowers safety teams with insights and technology to proactively monitor, analyze and report adverse event signals and manage risks effectively.*

Exhibit 12: EMS accounts for c.23% of total operating revenue

Particulars	FY20	FY21	FY22	FY23	FY24	3 Yrs CAGR
EMS Revenue	**2,378**	**3,050**	**4,316**	**5,602**	**6,008**	**25.4%**
% of revenue	*37%*	*32%*	*26%*	*24%*	*23%*	
YoY Growth	*-*	*28%*	*41%*	*30%*	*7%*	
EMS Profit	***655***	***788***	***1,129***	***1,376***	***1,679***	***28.7%***
Margins	*28%*	*26%*	*26%*	*25%*	*28%*	
YoY Growth	*-*	*20%*	*43%*	*22%*	*22%*	

Source: Company, MNCL Research

Others – Enterprise Clinical Solutions and Consultancy Services: Services offered include clinical trials design, and patient recruitment.

Indegene designs patient-centric trial experiences informed by insights from real-world data (RWD) to improve retention through the process.

- Enterprise Clinical Solutions help drive efficiency in the drug discovery and clinical trial operations of life sciences companies.
  - These solutions include digitally enabled patient recruitment for clinical trials, clinical data management and assistance with regulatory submissions. Indegene leverages real-world data (RWD) to help identify the right sites for clinical trials, relevant patient cohorts to recruit and thereby fast track site selection and patient recruitment.
  - Help biopharmaceutical companies in data management and analytics to seamlessly handle and analyze multiple sources of data during clinical trials and build a case for regulatory approvals.
- Provide consultancy services, through its subsidiary, DT Associates Limited, to help life sciences companies take charge of their digital transformation efforts for continued customer experience success.

Exhibit 13: Others accounts for c.5% of total operating revenue

Particulars	FY21	FY22	FY23	FY24	3 Yrs CAGR
Others Revenue	**180**	**755**	**1,063**	**1,410**	**98.8%**
% of revenue	*2%*	*5%*	*5%*	*5%*	
YoY Growth	-	*320%*	*41%*	*33%*	
Other Profit	***-276***	***-104***	***-233***	***-213***	***NA***
Margins	*-154%*	*-14%*	*-22%*	*-15%*	
YoY Growth	*-41%*	*-62%*	*124%*	*-9%*	

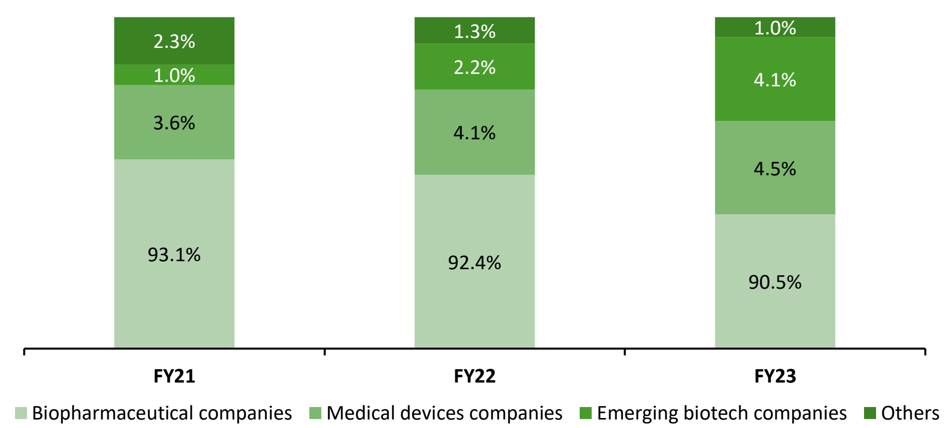
Source: Company, MNCL Research

Customer Segment Overview and Geographical Presence

Indegene's customer base spans globally, encompassing entities across North America, Europe, Asia-Pacific, and other regions. It caters to a wide array of customers within the life sciences industry, including:

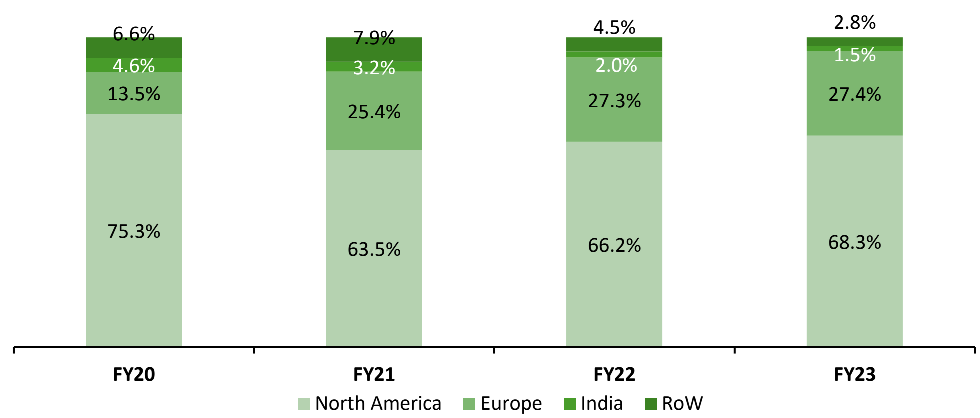
- **Biopharmaceutical Companies**: Work with pharmaceutical giants to streamline their commercial operations, enhance market access strategies, and optimize their digital engagement with healthcare providers and patients.
- **Biotechnology Firms**: Partner with biotech companies to accelerate clinical development, navigate regulatory landscapes, and leverage data analytics for informed decision-making.
- **Medical Device Manufacturers**: Supports medical device manufacturers in achieving regulatory compliance, enhancing market penetration strategies, and optimizing their operational efficiency through digital solutions.
- **Healthcare Organizations**: Collaborate with healthcare providers and organizations to improve patient outcomes, enhance healthcare delivery efficiency, and implement patient-centric care models using innovative technologies.
- **Regulatory Agencies**: Works with regulatory bodies to ensure compliance with evolving healthcare regulations, facilitate data transparency, and support pharmacovigilance activities.
- **Academic and Research Institutions**: Collaborate with academic and research institutions to drive innovation in healthcare, facilitate clinical trials, and advance medical research through data-driven insights. *Indian Institute of Science and Ignite Life Science Foundation have joined hands with Indegene to advance scientific discoveries in India.*

Exhibit 14: Revenue by Customer Type



Source: Company, MNCL Research

Exhibit 15: Revenue by Geography



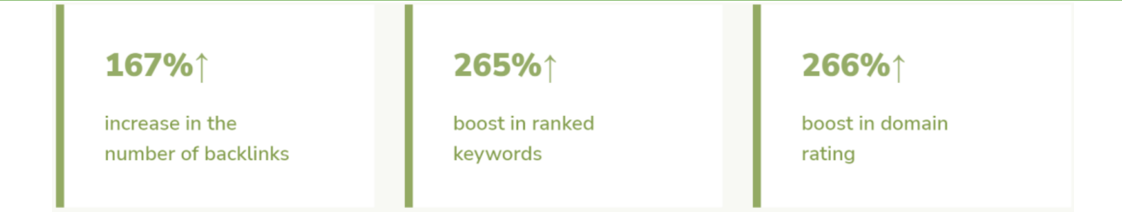
Source: Company, MNCL Research

Select Case Studies to Understand Indegene's Offerings

(I) Boosting Organic Performance for a Pharmaceutical Education Platform

- **Client Overview:** A global educational platform focused on nanomedicine and nanoscience, targeting scientific and academic communities in the US and EU.
- **Challenges:** Limited visibility due to a lack of backlinks, few backlinks, lack of brand awareness, limited search engine visibility.
- **Solution:** Indegene implemented a strategic SEO plan:
    - Target audience identification and link prospecting
    - Competitor analysis
    - Outreach and monitoring
- **Outcomes**: Indegene's efforts significantly improved the platform's online presence and reputation in the pharmaceutical industry.

Exhibit 16: Impact of Indegene's solutions

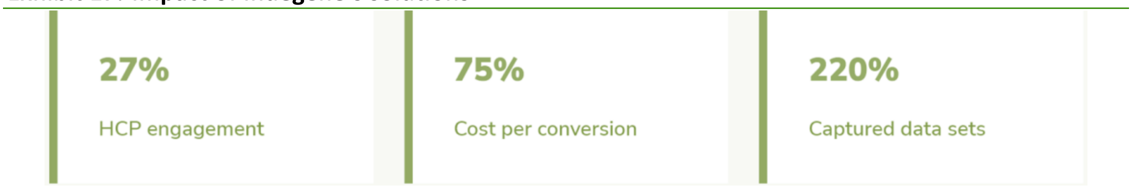


Source: Company, MNCL Research

(II) Optimizing Healthcare Professionals Campaign Analysis for a Japanese Pharmaceutical Company

- **Client Overview:** A global Japanese pharmaceutical company facing challenges in analyzing HCP-targeted campaigns across the EUCAN regions, including Italy, the UK, Canada, and Belgium.
- **Challenges**: Fragmented data across HCP journeys, content and channels, lack of clear metrics to measure campaign impact, absence of an integrated operating model, no overarching strategy or multi-channel tracking
- **Solution:** Implemented a multi-faceted approach including-
    - Data enablement strategy and data warehousing
    - Digital Affinity Scoring to captured HCP activity across channels
    - Data Optimization to generated insights from diverse datasets
    - Personalized measurement framework for campaign tagging and data collection
    - Self-service insights architecture to gain centralized view of campaign performance
- **Outcomes**: Enhanced campaign operations and performance tracking, leading to more effective HCP-targeted campaigns and improved strategic decision-making across the EUCAN regions.

Exhibit 17: Impact of Indegene's solutions



Source: Company, MNCL Research

(III) Streamlining Omnichannel Campaign Planning

- **Customer Overview**: A European life sciences company faced challenges in campaign planning across diverse markets and brands.
- **Challenges**: Fragmented tools (PowerPoint, Excel), lack of standardized processes, limited visibility and coordination, ineffective customer engagement due to disjointed touchpoints.
- **Solution**: Indegene's NEXT Campaign Collaboration:
  - Centralized platform for unified campaign planning
  - Standardized processes for improved time-to-market and communication
  - Integrated ecosystem for managing campaigns and leveraging metadata to improve decision-making and effectiveness

Outcomes: Streamlined operations with a standardized framework led to Improved campaign effectiveness and reduced time-to-market.

Exhibit 18: Impact of Indegene's solutions

1.3x uplift in campaign time to market	**30%** improved global campaign reuse

Source: Company, MNCL Research

(IV) Enhancing Regulatory and Competitive Intelligence for a Global Pharmaceutical Leader

- **Customer Overview**: A leading German pharmaceutical company specializing in respiratory diseases, metabolism, immunology, oncology, and central nervous system disorders.
- **Challenges**: Manual effort and time-intensive processes for gathering regulatory and competitive information from various external sources along with delays in obtaining actionable insights, leading to delays in regulatory submissions.
- **Solution**: Implemented Indegene's NEXT Regulatory Intelligence platform:
  - Automated information classification and curation using AI
  - Enabled interpretation of policy and regulatory updates for client teams
- **Outcomes**: Automated and streamlined regulatory and competitive intelligence processes and improved turnaround times and success rates for regulatory submissions.

Exhibit 19: Impact of Indegene's solutions

>55% Time saved in information gathering	**40% ↓** Turnaround time for submissions	**50% ↑** Submission success rates to authorities

Source: Company, MNCL Research

Strong Track-Record of Driving Innovation and Operational Excellence

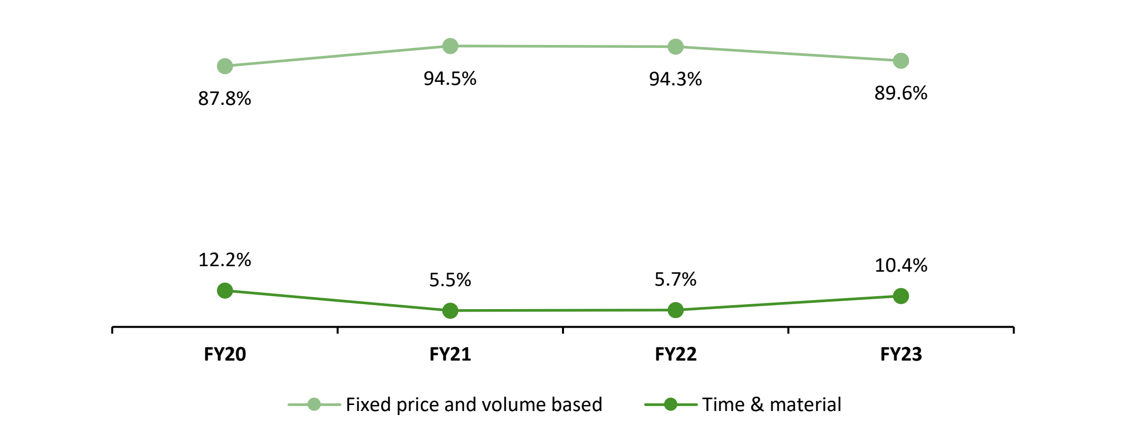
Indegene occupies a pivotal role at the intersection of healthcare and technology, carving out a distinctive niche in its operational verticals. It serves the life sciences industry, projected to grow at a CAGR of ~6.5% to reach US$ 201bn by 2026 (Source: Everest Group). Indegene addresses the evolving needs driven by an aging population, rising chronic disease prevalence, and ongoing disease discoveries. With **operational hubs in 6 locations and offices spanning 17 cities** across North America, Europe, and Asia, Indegene caters to a **client base that includes the top 20 largest biopharmaceutical companies globally by revenue**.

Operates primarily through two models: Time & Material and Fixed Price Model (FPM)

~90% of its revenue comes from fixed price and volume-based engagements, where clients pay a predetermined fee based on estimated project costs. This model is in contrast with the Resource Utilization Model (Time & Material), where fees are based on the number of employees assigned or hours spent on engagements, without considering employee utilization rates. Indegene strategically distributes its workforce, with 86% offshore at an average cost of US$ 20K annually and 15% onshore at an average of US$ 120K annually as of FY24. This blend optimizes costs while ensuring high-quality service delivery across its operations. Over the years, Indegene has refined its contract mix to achieve a balanced offering.

Indegene's approach combines innovative technologies, such as data analytics and automation, with deep domain expertise in medical, regulatory, and commercial operations. This integration enables Indegene to offer comprehensive solutions that span from clinical development and regulatory compliance to marketing & commercialization.

Exhibit 20: Revenue by Contract Type



Source: Company, MNCL Research

High Client Stickiness with Diverse Base: Ensuring Stability at Indegene

Indegene is prioritizing cost optimization and sharpening its focus on core competencies. The company reduced its headcount from 5,431 in FY23 to 5,081 in FY24 as part of efforts to streamline operations. Notably, *21.5% of delivery employees hold specialized healthcare-related qualifications such as MD, MBBS, PhD, BDS, MPharm, and BPharm degrees*. This deep domain expertise allows Indegene to deliver customized solutions, enhancing overall productivity and operational efficiency. These strategic initiatives have contributed to Indegene's growth in client count and wallet share over the years.

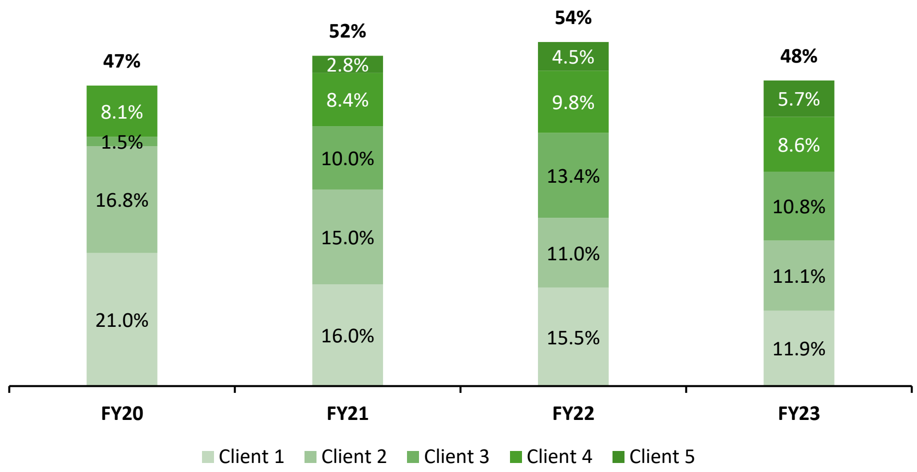
Exhibit 21: Improving Client count and Wallet Share

Particulars	FY20	FY21	FY22	FY23	FY24
Total no. of active clients	***34***	**44**	**46**	**62**	**63**
>US$ 25mn	-	-	*3*	*4*	*3*
US$ 10-25mn	-	*4*	*2*	*4*	*6*
US$ 1-10mn	-	*18*	*23*	*26*	*26*

Source: Company, MNCL Research

The top 5 clients of the company, which include leading global pharmaceutical companies, collectively contribute less than 50% of its total operating revenue, with no single client accounting for more than 15% individually. This diversified client base mitigates dependency risks and enhances the stability of Indegene's revenue streams.

Exhibit 22: Revenue by Top 5 Clients (INR mn)



Source: Company, MNCL Research

Global delivery model to streamline client solutions worldwide

Indegene serves over 63 clients globally through strategically located offices and hubs in North America, Europe, and Asia. Its streamlined global processes and scalable solutions enable the company to deliver end-to-end services tailored to client needs across multiple regions. With local presence in various countries, Indegene possesses specialized knowledge of regional markets, cultural nuances, regulatory landscapes, and medical terminologies. This expertise facilitates effective client engagement across different time zones and languages.

Track record of creating value through acquisition

Indegene's inorganic growth strategy focuses on acquiring companies that complement its core competencies and enhance its service offerings. This approach has been crucial in scaling operations, diversifying client bases, and driving innovation. The following table illustrates Indegene's acquisition timeline:

Exhibit 23: Past Acquisition of the Company

S.N.	Company Name	Acqu. Date	Valuation (US$ mn)	Description
1	Medsn, Inc.	Sep-05	7	Medical education and marketing company
2	MedCases LLC	Aug-06	20-25	Offer continuing medical education on digital platforms
3	Aptilon	Nov-12	4	Marketing services businesses
4	Total Therapeutic Management	Dec-13	-	HC quality improvement and clinician engagement business
5	SmartCare	Oct-15	6-8	A population health analytics platform
6	Skura Corporation*	Apr-16	9	Offer omnichannel sales enablement software products
7	Encima Group	Nov-16	16	Offer marketing automation and analytics services
8	Wincere	Dec-16	-	Provide clinical data management services
9	DT Associates Limited	Aug-19	10	Digital transformation and consulting firm
10	Medical Marketing Economics	Aug-21	10	Market access and reimbursement strategy firm
11	Cult Health	Oct-22	48	Full-service healthcare marketing agency
12	Indegene Germany (Sotus 852)**	Nov-22	-	-
13	Trilogy Writing & Consulting	Mar-24	-	Offers medical writing consultancy services

Source: Company, MNCL Research

** Demerged pursuant to a scheme of arrangement for transfer of commercial software business to OT Services India Pvt. Ltd.*

*** Indegene Germany does not have any business operations as of the date of its Red Herring Prospectus.*

Comments on valuation and acquisition structure

Indegene employs a strategic acquisition strategy that typically values targets at up to 1x their revenue. However, a notable exception is the acquisition of CultHealth, which was acquired at a higher multiple of approximately 2.12x revenue. *CultHealth's expertise in brand strategy, market development, and patient engagement platforms is anticipated to significantly enhance Indegene's commercialization portfolio and omnichannel activation offerings*.

To optimize its acquisitions, Indegene uses an earnout model. In this model, 50-60% of the deal value is paid upfront, while the remaining balance is contingent on the achievement of specific revenue milestones set at the time of the transaction. This approach not only mitigates financial risk but also ensures that the acquired companies align with Indegene's performance expectations, driving mutual growth and success.

Benefits of Inorganic Expansion

- **Accelerated Technological Advancements**: Acquisitions have enabled Indegene to integrate cutting-edge technologies into its service offerings. *For instance, Cult Health is expected to augment Indegene's commercialization portfolio.*
- **Diversified Client Base and Market Penetration**: Through acquisitions, Indegene has successfully entered new markets and sectors. *The acquisition of SmartCare, for example, expanded Indegene's reach into integrated healthcare technology solutions, allowing for a broader client base in patient engagement and care management.*
- **Enhanced Talent Pool**: Inorganic growth has brought in skilled professionals and domain experts, fostering a culture of innovation and continuous improvement. This talent infusion is critical for maintaining competitive advantage and delivering high-quality solutions to clients.
- **Improved Operational Efficiency**: Integrating acquired companies has streamlined Indegene's operations, optimizing processes and reducing costs. This efficiency gain is reflected in improved service delivery and client satisfaction.

Case Study: Cult Health Acquisition

Cult Health is engaged in providing advertising services to parties in the healthcare sector. It also offers digital marketing services like websites and banner advertising to social media, customer relationship management, and database management. ***Cult Health forms an integral part of the omnichannel segment. Following Cult Health acquisition in Oct'22, Omnichannel revenue has grown at a CAGR of c.60% between FY21 and FY24.***

Acquisition consideration: The acquisition was consummated for a consideration of c.US$ 64mn which includes earnout payment of c.US$ 16mn which is payable subject to performance of Cult Health during FY24-26.

Exhibit 24: Impact on Omnichannel topline post Cult Health Acquisition

				Acquired in Oct'22	
Omnichannel Activation	**FY20**	**FY21**	**FY22**	**FY23**	**FY24**
Revenue (US$ mn)	7	9	17	34	38
% Growth	-	28%	80%	100%	13%

Cult Health	**CY20**	**CY21**	**CY22**	**CY23**	**CY24**
Revenue (US$ mn)	10	21	33	39	NA
% Growth	-	110%	57%	19%	NA

Source: Company, MNCL Research

The acquisition of CultHealth has proven highly accretive for Indegene, as evidenced by the near doubling of omnichannel revenue post-acquisition. This significant growth underscores the value CultHealth's expertise in brand strategy, market development, and patient engagement platforms has added to Indegene's commercialization portfolio and omnichannel activation offerings.

Outlook

Looking ahead, Indegene plans to continue its acquisition strategy to capitalize on emerging opportunities in digital health, real-world evidence, and patient engagement. The company aims to leverage acquired capabilities to drive innovation and maintain its leadership in delivering value-driven solutions across the healthcare ecosystem.

Increasing Opportunities in Healthcare Space Coupled with Industry Tailwinds

A. Increasing analytics and automation adoption across value chain segment in life sciences.

The life sciences industry has traditionally been slow in technology adoption as compared to other industries.

A study on the US healthcare system showed that ~25% of healthcare spending is wasted for reasons including missed prevention opportunities, fraud and abuse, overuse, administrative wastage, clinical inefficiencies and high prices.

- Marketing and sales by life sciences companies traditionally followed a face-to-face interaction model between sales representatives and HCPs. Before the COVID-19 pandemic, 60-65% of the meetings were in-person meetings. This trend is now changing with life science companies now pivoting to a hybrid omnichannel model. Consequently, 65-70% of engagement with HCPs followed through virtual interaction after the onset of the COVID-19 pandemic.
- A survey by Deloitte with MIT Sloan Management Review finds that only 20% of biopharma companies are digitally maturing. The survey also shows that across industries digitally maturing companies are building new business models by scaling lessons learned from early experiments, changing at all levels of the organization, and enhancing external collaboration.

The life sciences industry has traditionally been a laggard in technology adoption as compared to other industries. However, over the past few years, life sciences enterprises are placing a higher emphasis on digital innovation and enterprise-wide transformation initiatives to improve operational efficiencies.

Exhibit 25: Increasing focus on efficiency and effectiveness

Source: MNCL Research

B. SG&A and R&D continues to account for a large share of expenses for biopharma companies

SG&A and R&D expense of life sciences enterprises account for over 30-40% of the total sales as evidenced in leading pharma players stats highlighted below:

Exhibit 26: Overview of SGA and R&D Spend of Select Pharma Companies *(Figures in US$ bn)*

Particulars	2021			2022			2023		
	Revenue	SGA%	R&D %	Revenue	SGA%	R&D %	Revenue	SGA%	R&D %
J&J	83	26%	15%	79	25%	18%	80	24%	18%
PFIZER	81	12%	13%	100	12%	11%	59	24%	18%
Roche	72	18%	21%	71	21%	21%	72	22%	22%
Abbvie	56	21%	12%	58	21%	11%	54	24%	13%
Merck	49	19%	25%	59	16%	20%	60	16%	31%
Sanofi	45	25%	15%	49	23%	15%	51	23%	15%
Novartis	44	29%	19%	43	28%	19%	47	27%	19%
Eli Lilly	28	22%	24%	29	21%	25%	34	20%	27%
Average		**21%**	**18%**		**21%**	**18%**		**23%**	**20%**

Source: Industry, MNCL Research

C. Operational spend of life science companies expected to grow at 6%+ CAGR between 2022-2026 along with increase in outsourcing trend

The combined sales of the biopharmaceutical and medical devices segments were estimated at US$ 1.8tn in 2023, with biopharmaceuticals constituting 69%. By 2026, the combined sales of the biopharmaceutical and medical devices segments are expected to reach US$ 2.1tn implying the grow of ~5.5% CAGR between 2022 and 2026.

Life sciences operations spend has grown at a CAGR of c.6.7% between 2020 and 2022 to US$ 156bn in 2022. It is expected to grow at a CAGR of 6.5% to reach US$ 201bn by 2026, driven by rise in aging population, increasing prevalence of chronic diseases and appearance of new diseases, among other factors. *The historical growth rate (from 2020 to 2022) is higher because historical growth was driven by the pandemic and was one-off in nature.*

Exhibit 27: Life Sciences Operational Spend Outlook

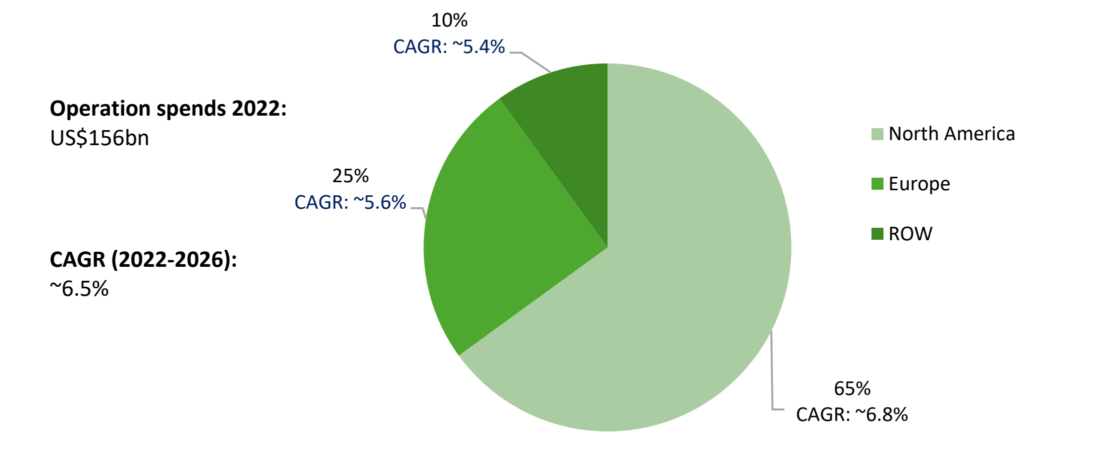
Particulars (US$ bn)	CY22	CY26	CAGR (CY22-26)	Outsourcing Level	CAGR (CY22-26)
Industry Revenue	1,712	2,118	**5.5%**		
Operational Spend	**156**	**201**	**6.5%**		
Marketing Spend	55	69	**5.9%**	7-12%	**14.5%**
Drug Discovery & Clinical Trials	36	46	**6.2%**	37-42%	**9.5%**
Regulatory & Medical Affairs	24	31	**6.0%**	20-25%	**9.5%**
Pharmacovigilance	21	27	**8.0%**	18-23%	**11.5%**
Manufacturing, Supply Chain & Distribution	21	28	**6.5%**	5-10%	**14.5%**

Source: Industry, MNCL Research

In 2022, the marketing and sales segment had the highest operations spend, estimated at US$ 55bn, constituting c.36% of overall life sciences operations expenditure, but with a low outsourcing penetration rate of 7-12%. However, outsourcing expenditure in this segment is projected to grow at a CAGR of 11%+ between 2021 and 2025, representing room for growth (Source: Everest Report).

Further, in term of geographical penetration, North America continue to dominate and accounts for the largest portion of life sciences operations spent in prior periods, i.e., 65%+ of global life sciences operations spent followed by Europe.

Exhibit 28: Life Sciences Operation Market Size - Split by Geography (2022-2026)



Source: Company, MNCL Research

D. Increased Consolidation in the Healthcare Sector leads to effective and efficient results

Consolidation allows for centralizing administrative functions, reducing redundancy, and promoting cost-effectiveness. The resulting pooled resources also enable strategic investments in advanced technologies, fostering innovation and improving patient care. Therefore, we are witnessing centralized planning gaining traction among pharmaceutical companies striving for operational excellence and regulatory compliance.

Choice between centralization and decentralization not binary

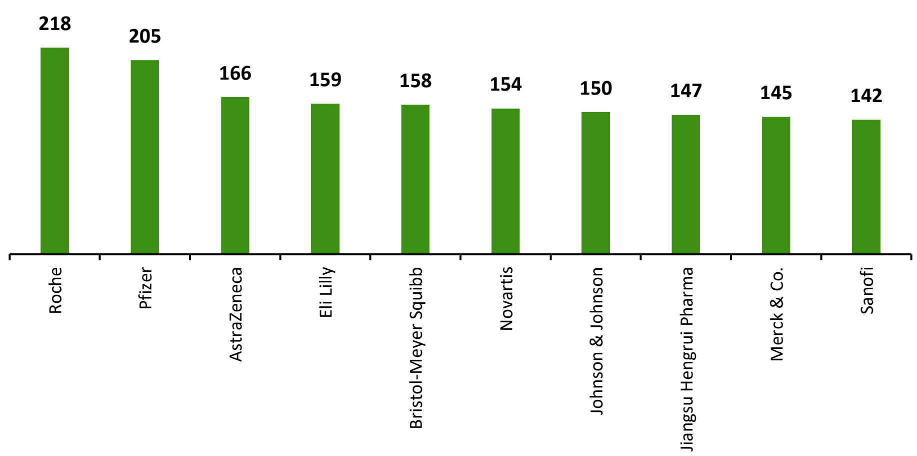
Healthcare companies are striking the right balance between centralization and decentralization to leverage the strengths of each approach while mitigating their respective weaknesses.

- **Centralization** streamlines processes, achieves economies of scale, promotes standardization, consistency, cost-effectiveness, efficient resource allocation, and swift decision-making. *Sales and marketing benefit from centralized data-driven strategies.*
- **Decentralization** promotes local autonomy, flexibility, responsiveness, innovation, adaptability, and accountability in healthcare. It enables customized solutions for diverse patient needs and operational requirements. *Decentralized clinical trials support wider data collection to improve drug efficacy.*

E. Robust R&D pipeline of life science companies to provide opportunities to players like Indegene

The pharmaceutical industry's focus has shifted from developing broad-spectrum, high-volume drugs to more targeted, niche-specific therapies, driven by advancements in medical research, the rise of personalized medicine, and the need to address unmet medical needs. The shift towards niche therapeutics has intensified competition within the industry, with companies investing heavily in R&D to develop innovative.

Exhibit 29: Leading Pharma Companies by Size of R&D pipeline (No. of Products) as of 2024



Source: Industry, MNCL Research

Roche leads the ranking among the top pharmaceutical companies worldwide with 218 products in the R&D pipeline, closely followed by Pfizer, indicating their substantial commitment to drug discovery and development.

Additionally, it is imperative to note that *the success rate of a drug candidate, from the beginning of the clinical trial to receiving marketing approval, is about 10%–20%, and it has not changed during the past few decades. Therefore, it is critical for pharma companies that they adhere to all compliance and regulatory requirements to improve their approval chances*.

F. Increasing Competitive Intensity in Digital Solutions for Life Sciences

The life sciences industry is undergoing a significant transformation with the rapid adoption of digital solutions. Companies are increasingly investing in digital technologies to enhance operational efficiency, improve patient engagement, and streamline regulatory compliance. The competitive landscape is intensifying as more players enter this lucrative market, offering innovative solutions tailored to the unique needs of life sciences companies.

The competition in the digital solutions space for life sciences is fierce, driven by several factors:

- **Technological Advancements**: Continuous innovations in AI, machine learning, and data analytics are raising the bar for service offerings.
- **Regulatory Changes**: Evolving regulatory requirements necessitate agile and compliant digital solutions, prompting companies to innovate continuously.
- **Customer Expectations**: Life sciences companies are demanding more sophisticated, integrated, and personalized solutions to improve patient outcomes and operational efficiency.

Companies like Endava provide complementary services that can support the digital needs of CROs and other healthcare organizations. Endava focuses on digital transformation and IT services, CROs are more specialized in clinical research & development.

Exhibit 30: Global Players Focused on Life Science Sector

Company Name	Business Focus	Founded In	Description
IQVIA Holdings	CRO	1982	Engages in the provision of advanced analytics, technology solutions, and clinical research services to the life sciences industry
Icon PLC	CRO	1990	Provides outsourced development services to life science companies worldwide across the entire lifecycle of product development
Certara	CRO	2008	Provides solutions to customers for drug discovery, preclinical and clinical research, regulatory submissions, and market access
Medspace	CRO	2020	Provides clinical development services to life science companies operating under a full-service model
Globant	IT	2003	Provides IT services solutions for multiple industries. Solutions include Data and AI, Blockchain, Cybersecurity, Metaverse, etc.
Endava	IT	2000	Provides digital transformation consulting, agile software development services and various automation solutions
Veeva Systems	HealthTech	2007	Provides software to global life sciences industry, focusing on areas like CRM, content management, and data analytics.
Model N	HealthTech	1999	Optimizes revenue and ensures compliance for life sciences and high-tech innovators
Simulations Plus	HealthTech	1996	Assists in drug discovery and software for life science companies utilizing AI and machine learning based technology worldwide
Definitive Healthcare	HealthTech	2004	Offer healthcare commercial intelligence to support product development, go-to-market planning, sales and marketing execution

Source: MNCL Research

Categorization of service provider in healthcare:

- **Contract Research Organizations (CRO) and Contract Sales Organizations (CSO)** support biopharmaceutical and medical devices companies with capabilities in conducting clinical trials, usually taking up end-to-end responsibility of trials, and provide other services across the life sciences value chain, such as marketing and sales including provision and management of contract sales representatives
- **IT/BPO** providers are industry agnostic service providers with a suite of verticalized offerings in multiple industries including life sciences. These companies provide complementary services that can support digital needs of CROs and other healthcare organizations.
- **Digital engineering / HealthTech companies** help life sciences companies with the ideation, design, and engineering of technological products such as platforms, software, and custom applications. They integrate software and next-generation technologies in the products and offerings of enterprises.

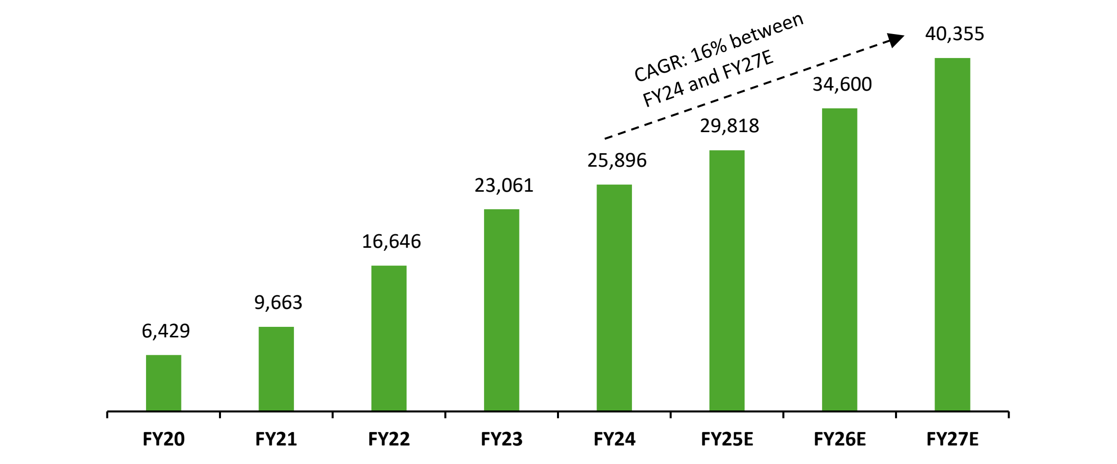
Indegene has carved out a niche in the digital commercialization space, distinguishing itself from traditional Contract Research Organizations (CROs) by operating as a virtual sales organization. This strategic positioning allows Indegene to offer a suite of digital solutions that cater specifically to the commercialization needs of life sciences companies.

Adapting to Changes: Trends and Challenges in the Life Sciences Sector

- Life sciences enterprises are turning toward service providers to help them with digital technologies to adapt to the evolving drug development models, reduce costs, gain domain expertise to navigate intricate nuances of the commercialization journey, minimize operational disruptions, and enhance overall efficiencies. A similar trend to leverage digital technologies can be seen within emerging biotech firms as well.
- Marketing and sales, account for the largest segment by operations spend, is underpenetrated, providing sufficient headroom for growth. Going forward the growth rate of outsourced spend on operations is forecasted to outpace in-house spend.
- Pharma companies, to crack blockbuster drugs, are cautious with filing and compliances to increase their chances of obtaining regulatory approval. *Interestingly, only 1 in 5 products launched in the U.S. reached a revenue of US$ 1bn from 2004 to 2016 and 50% of all products launched over the past 15 years failed to reach peak U.S. sales of US$ 250mn.* Life sciences companies in the top 10 countries are expected to launch 290-315 products from 2022 through 2026, accounting for US$ 196bn in forecasted sales.

Financial Analysis

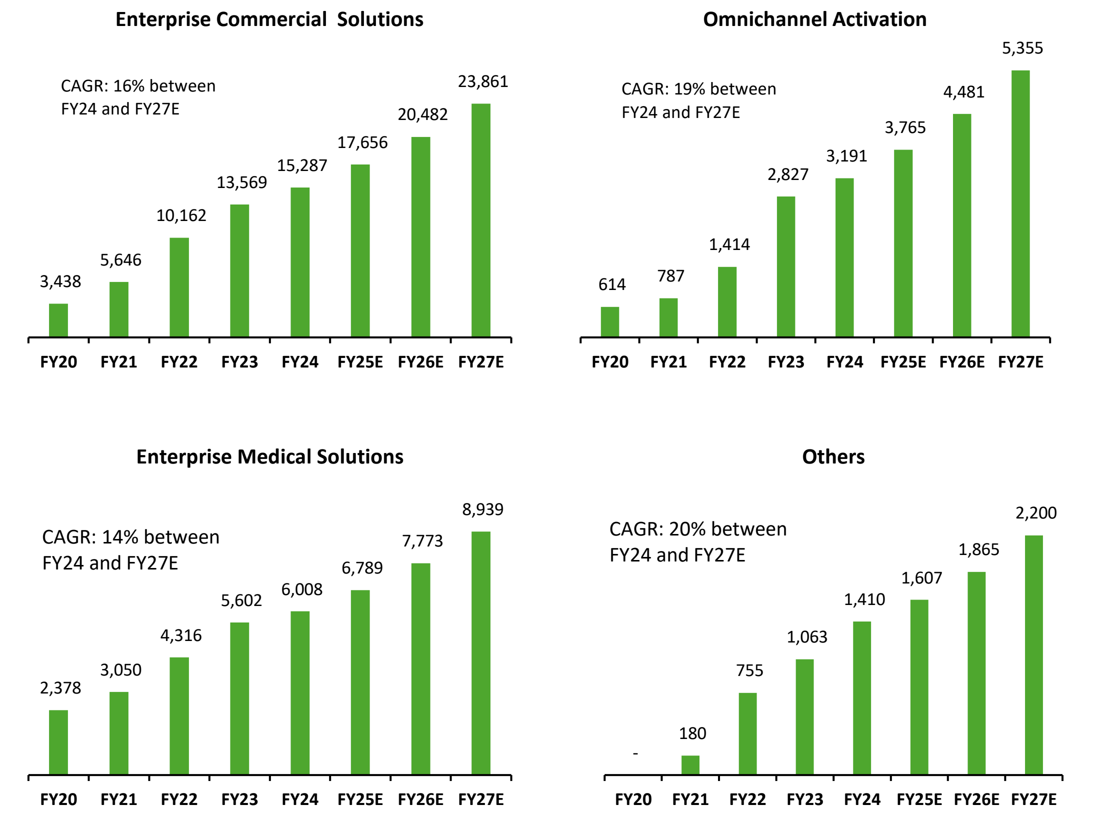
Exhibit 31: Revenue from Operations (INR mn)



Source: Company, MNCL Research Estimates

We anticipate Indegene to grow at a CAGR of c.16% over FY24-27E, primarily driven by increased outsourcing in the healthcare sector and growth in the life sciences industry. Previously, the company experienced higher growth due to COVID-induced opportunities in the healthcare space and synergies from past acquisitions. Management has indicated they will continue to monitor acquisition opportunities and plan to expand inorganically in future.

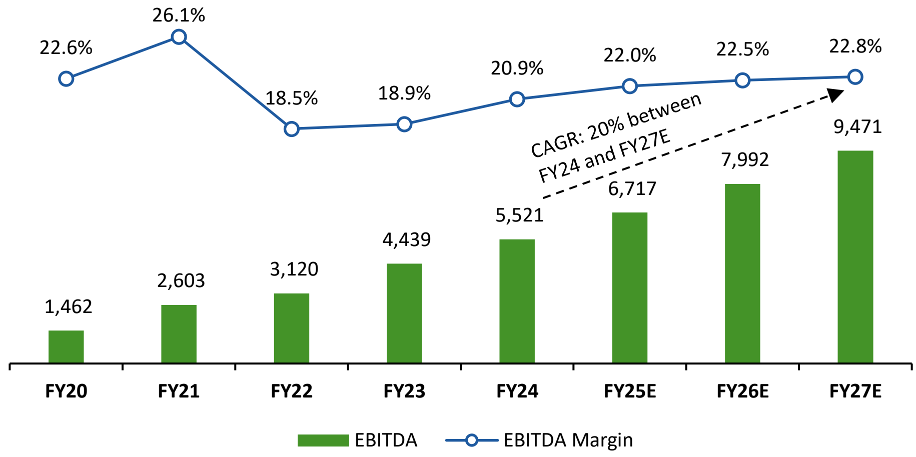
Exhibit 32: Segment Revenue Breakup (INR mn)



Source: Company, MNCL Research Estimates

- *ECS and EMS segment has grown organically so far.*
- *The company is strengthening capabilities in clinical solutions and consultancy services, along with commercial capabilities.*
- *Omnichannel performance improved with the acquisition of Cult Health in October 2022, and consultancy services were boosted by acquiring DT Associates in August 2019.*

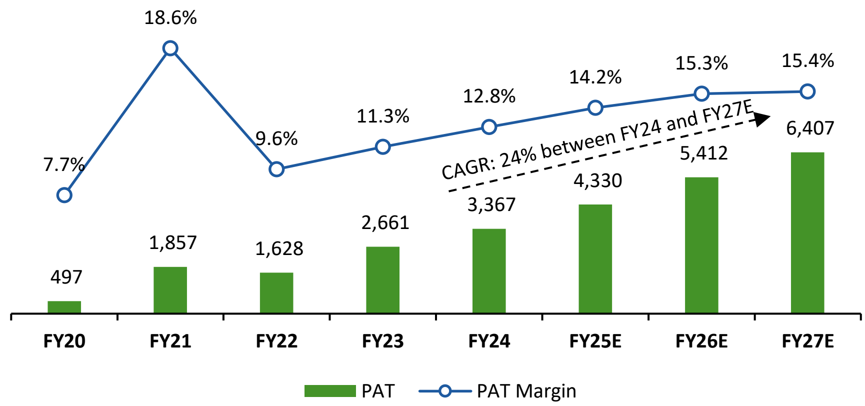
Exhibit 33: EBITDA growth and EBITDA margin (INR mn)



Source: Company, MNCL Research Estimates

We estimate EBITDA to grow at a CAGR of c.20% between FY24-27E underpinned by the company's focus on cost optimization initiatives that are expected to drive sustainable improvements in profitability. The business has demonstrated its resilience and adaptability in the face of unexpected challenges, particularly during the COVID-19 pandemic, showcasing its ability to navigate dynamic market conditions and deliver solid financial performance.

Exhibit 34: PAT and PAT margin (INR mn)

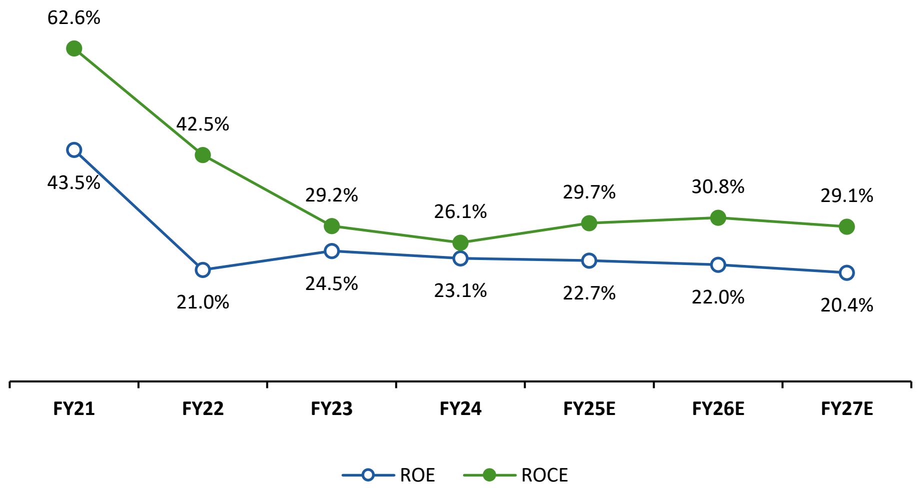


Source: Company, MNCL Research Estimates

We expect the company's PAT to deliver a CAGR of c.24% between FY24-27E, primarily driven by the focus on debt repayment, which is expected to lead to a significant reduction in finance costs.

Indegene witnessed high growth during FY20-22 due to COVID-induced opportunities. While the business has transitioned out of that phase, it anticipates continued growth as the industry is still in the early stages of adopting digital technologies for commercial operations.

Exhibit 35: Return Ratios



Source: Company, MNCL Research Estimates

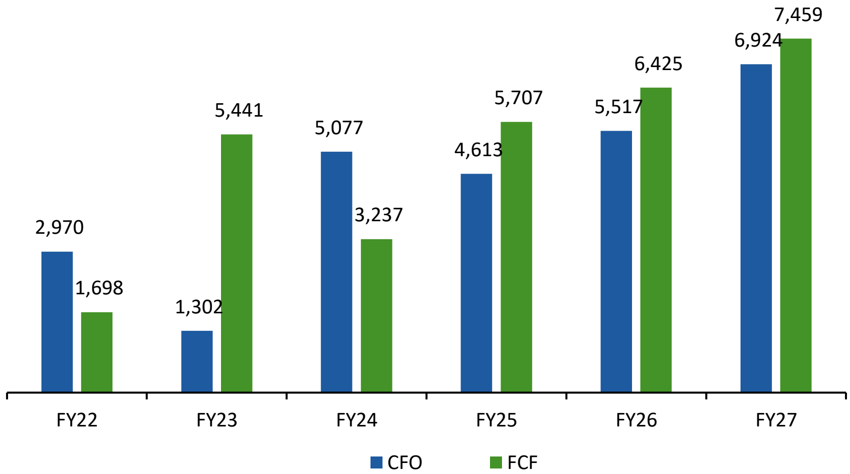
Our forecast indicates return on average equity (ROAE) and return on average capital employed (ROCE) to reach 20.4% and 29.1%, respectively by FY27E driven by the company's ability to capitalize on emerging business opportunities and its strong execution capabilities, leading to better profit conversion.

Exhibit 36: DuPont Analysis

Particulars	FY21	FY22	FY23	FY24E	FY25E	FY26E	FY27E
Profit-to-sales	15.0%	9.6%	11.3%	12.8%	14.2%	15.3%	15.4%
Sales-to-assets	1.62x	1.23x	1.05x	1.02x	1.03x	1.10x	1.06x
Assets-to-equity	1.79x	1.77x	2.07x	1.78x	1.55x	1.31x	1.25x
ROAE	**43.5%**	**21.0%**	**24.5%**	**23.1%**	**22.7%**	**22.0%**	**20.4%**

Source: Company, MNCL Research Estimates

Exhibit 37: Cash Flow (INR mn)



Source: Company, MNCL Research Estimates

Indegene has successfully maintained a healthy cash flow and FCF historically, demonstrating their financial stability and efficient cash management. Moving forward, Indegene is well-positioned to sustain this trend, supported by their solid business model, strategic growth initiatives, and disciplined financial practices.

Valuation and view

TP at INR 660 representing an upside potential of c.18%

Indegene has experienced significant growth due to favorable market dynamics and increased demand for digital solutions in the pharmaceutical industry, boosted further by the COVID-19 pandemic. The company aims to further expand its operations by continuing to invest in technology and enhance its global presence. Indegene is working on developing next-generation AI-enabled solutions to improve its offerings in commercialization services, clinical trials, pharmacovigilance, and regulatory affairs, with the goal of increasing its market share in these areas. To achieve these objectives, Indegene is aggressively pursuing deeper relationships with existing clients, establishing new client relationships, strengthening its presence in new market segments, focusing on high-value opportunities, and scaling its nascent business verticals.

Based on the company's strong financial performance, growth prospects, and industry tailwinds, we have assigned **28x Jun'FY27E EPS** to Indegene. The rationale for this multiple is highlighted below:

- **Virtual monopoly in its field:** Indegene's unique business model, global delivery capabilities, and strong market position contribute significantly to its growth potential.
- **Onboarded Top 20 pharma companies at various stages**. The *company's client retention rate has been impressive, with no client dropouts to date*, indicating the stickiness of its solutions and the strong trust it has built with its customers.
- **Favorable industry dynamics**. The top 20 global pharma companies, with a combined market cap of US$ 4tn+ and robust R&D pipelines, face the need to optimize operational spending presenting huge business and growth opportunities for players like Indegene.

Indegene is backed by PE investors valuing the company at 28-30x in past investment rounds.

- **Demonstrated impressive growth, outpacing its industry peers**. The company's revenues have grown at a CAGR of 38% between FY21 and FY24, significantly higher than the average CAGR of around 15% for the global HealthTech companies during the same period as indicated in below table. (*More details on these companies are covered in the appendix section*)

Exhibit 38: Players Operating in Health Tech Sector

Particulars (US$ mn)	Market Cap.	Revenue CAGR		EBITDA Margin			Forward P/E Multiples		
		FY21-24	FY24-26E	2022	2023	2024	2024	2025E	2026E
Indegene	1,637	38.3%	16.0%	18.5%	18.9%	20.9%	39.8x	30.9x	24.8x
Global HealthTech Companies							**35.1x**	**27.3x**	**22.4x**
Certara	2,149	10.9%	10.5%	28.0%	28.0%	31.7%	30.7x	25.8x	22.5x
Endava	1,623	16.0%	12.0%	19.1%	18.0%	13.8%	19.5x	17.0x	11.6x
Model N	1,182	10.8%	10.5%	2.8%	5.6%	19.1%	24.1x	20.2x	15.9x
Simulations Plus	954	15.0%	16.3%	35.8%	28.6%	35.0%	87.2x	60.9x	50.8x
Definitive Healthcare	809	15.8%	6.6%	13.5%	9.3%	32.0%	14.0x	12.7x	11.2x
Indian MidCap IT Companies							**47.8x**	**38.0x**	**30.5x**
Persistent Systems	7,283	28.0%	15.0%	17.0%	18.2%	17.1%	55.6x	45.4x	36.3x
L&T Technology	6,132	17.0%	11.0%	21.5%	20.0%	19.7%	39.3x	36.5x	31.0x
Mphasis	5,472	7.0%	10.3%	17.9%	18.0%	18.2%	29.4x	26.7x	23.0x
Tata Elxsi	5,283	20.0%	14.0%	31.0%	30.6%	29.5%	55.8x	49.3x	39.8x
Coforge	4,250	21.0%	15.5%	17.1%	16.0%	15.6%	40.8x	31.4x	25.5x
Zensar Technologies	2,037	5.0%	9.4%	14.4%	10.6%	17.8%	25.8x	26.0x	22.9x
Cyient	703	18.6%	33.0%	12.6%	11.2%	9.3%	88.2x	50.4x	34.7x

Source: Company, MNCL Research

Exhibit 39: Qualifies for Higher Multiple

Valuation	As on FY24	As on Jun'FY27E
Market Cap	**133,991**	**158,507**
Net Debt	2,121	(8,654)
Enterprise Value	**136,112**	**149,853**
EPS	15.19	23.66
Current / Assigned PE	39.80x	28.00x
CMP / Target Price	**560**	**662**
Potential Upside		**18.3%**

Source: Company, MNCL Research Estimates

Indegene is backed by PE investors valuing the company at 28-30x in past investment rounds.

Exhibit 40: Precedent Transaction Summary Table

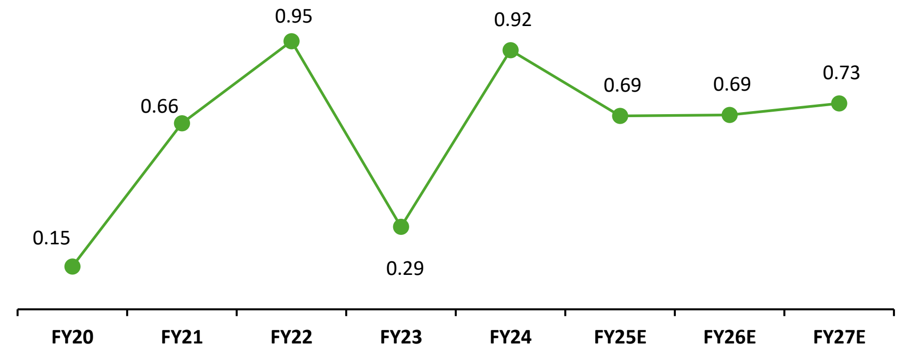
Particulars (INR mn/US$)	Period	Deal Nature	Fundraise	Valuation	PE	Stake Sold
Carlyle Group, Brighton Park Capital	Apr-21	Secondary	INR 12bn/ US$ 200mn	c.INR 44bn/ c.US$ 600mn	28. 8x	28.10%
Nadathur Fareast Pte Limited	Jul-22	Secondary	INR 1.5bn/ US$ 20mn	c.INR 45bn/ US$ 600mn	28.6x	3.30%
Public Listing	May-24	IPO	INR 18.4bn/ US$ 220mn	INR 108.1bn/ US$ 1.4bn	31.1x	10.00%

Source: Company, MNCL Research

We have further further substantiated the valuation using DCF analysis.

Indegne has mainted a healthy CFO to EBITDA ratio and we expect the same trend to continue.

Exhibit 41: Track Record of Healthy CFO to EBITDA Ratio



Source: Company, MNCL Research Estimates

The DCF model has been structured as a 3-stage process to account for Indegene's gradual transition to a more sustainable growth phase over the long-term.

Discount Rate	
Rf	7.3%
RM	13.3%
Beta	1.32x
Cost of Equity	15.2%
Cost of debt	8.5%
WACC	**13.9%**

Exhibit 42: DCF Valuation Assumption

Discount Rate	H-Growth	H-G Period*	TV Growth
13.9%	19%	7	5.5%

Source: MNCL Research Estimates

Discounted Cash Flow	
Enterprise Value	161,210
Less: Net Debt	2,121
Market Cap.	**159,089**
Target Price	**665**
Upside	**18.5%**

Source: MNCL Research Estimates

The DCF analysis underscores Indegene's growth potential. The company is currently in a high-growth phase, benefiting from an accelerating pace of digitization and outsourcing within the industry. It is anticipated to sustain this high-growth period for an extended duration before transitioning to sustainable growth.

Sensitivity Analysis

Two variable data table to evaluate Target Price and Price Variation

We conducted a sensitivity analysis using the high growth period and rate as variables to assess their impact on price. From FY20 to FY23E, FCF grew at a CAGR exceeding 42%. In our base case, we estimate a 34% growth from FY22 to FY27E. We assumed a high growth rate of 19% over 7 years followed by sustainable growth of 5.5% to calculate the terminal value. Our base assumption indicates Target Price of INR 665, a potential upside of c.19% using a DCF approach.

Valuation: Price/Share

H-Growth Rate	Terminal Growth Rate				
	4.5%	5.0%	5.5%	6.0%	6.5%
13%	464	481	499	520	544
15%	510	528	549	573	600
17%	560	581	604	631	661
19%	615	638	665	695	729
21%	675	702	732	765	804
23%	742	772	805	843	886
25%	815	848	886	928	976
27%	895	932	974	1,021	1,075

% Over CMP at INR 560

H-Growth Rate	Terminal Growth Rate				
	5%	5%	6%	6%	7%
13.0%	-17%	-14%	-11%	-7%	-3%
15.0%	-9%	-6%	-2%	2%	7%
17.0%	0%	4%	8%	13%	18%
19.0%	10%	14%	19%	24%	30%
21.0%	21%	25%	31%	37%	43%
23.0%	32%	38%	44%	51%	58%
25.0%	45%	51%	58%	66%	74%
27.0%	60%	66%	74%	82%	92%

Source: MNCL Research Estimates

- Valuation is highly sensitive to high growth rate and period.
- The above table indicates a price range of INR 464 to INR 1,075, price variation range of -17% to 92%.

Hence, the risk-reward tradeoff appears favorable.

Key risk to the thesis:

- **Geographical concentration:** Indegene is heavily concentrated in North America and Europe, which together account for 96% of its FY24 revenue.
- **High customer concentration:** The company's top 10 customers contributed 72%, 72%, and 67% of revenue in 2021, 2022, and 2023, respectively. Indegene's business and profitability are heavily reliant on the life sciences industry and maintaining relationships with these key clients.
- **Highly competitive life sciences industry**: The industry faces intense competition with low barriers to entry, resulting in significant price competition. However, Indegene benefits from a clear first-mover advantage in its niche, as well as established client relationships.

Example of a New-age Tech Company Evolution

Indegene's evolution can be likened to that of MapmyIndia, highlighting how both companies have successfully transitioned into new-age tech players revolutionizing the digital era.

Just as MapmyIndia moved beyond basic navigation to become a key player in high-tech mapping and geospatial services, Indegene has advanced from offering basic commercialization and medical affairs support to providing comprehensive, data-driven solutions for the life sciences and pharmaceutical sectors. Both companies have leveraged their core competencies to expand into higher-value services, significantly enhancing their market position and justifying premium valuations.

MapmyIndia is at the forefront of multiple technological revolutions, including EV, e-commerce, and the digital transformation of enterprises, thanks to its 30 years of expertise in building digital maps with unparalleled geo-coverage. Similarly, Indegene has developed a strong moat by making the work of pharma and biotech companies easier through its niche services. **As the healthcare sector begins to adopt digital technologies, Indegene is well-positioned to capitalize on this trend**. Today, MapmyIndia trades at a high valuation with a Forward PE of 54.6x FY26 EPS, reflecting its growth potential in a nascent market. Indegene, operating at the intersection of healthcare and pharma—an underpenetrated and vast market—has immense potential, justifying its premium valuation over global healthtech players such as Veera Systems and Certara.

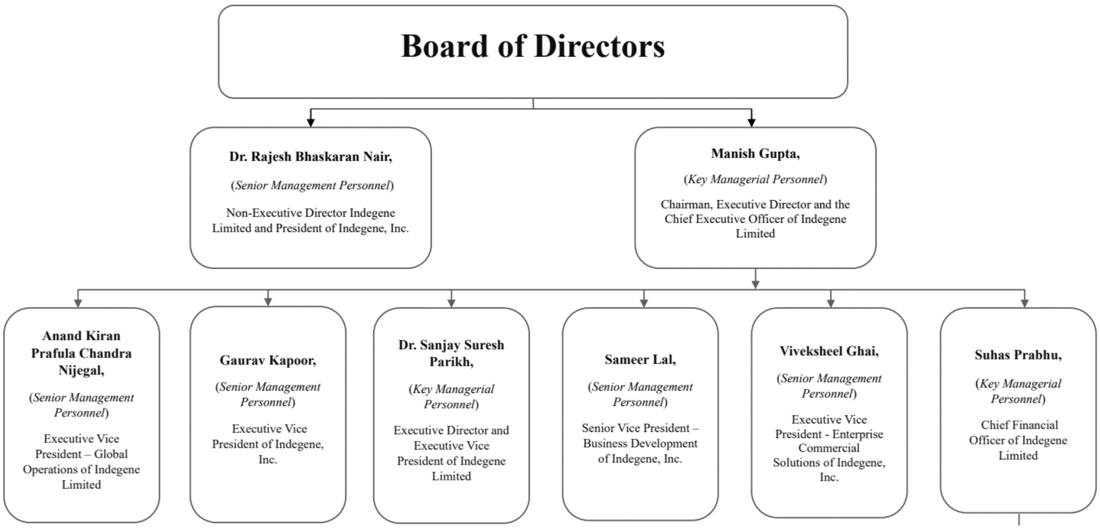
Exhibit 43: Key Points on MapmyIndia and Indegene

Aspect	MapmyIndia	Indegene
Core Expertise	Digital mapping and geospatial solutions Focus: Automotive, EV, e-commerce, enterprise transformation	Analytical & digital solution for life science companies Focus: Life sciences, pharmaceuticals, biotech
Market Evolution	From basic navigation to advanced location services	From basic support to comprehensive, data-driven solutions
Key Services	Location Intelligence, navigation, EV mapping	Digital adoption, content deployment, patient engagement
Market Opportunity	Growing demand in automotive, non-automotive applications	Increasing digital adoption in healthcare
Competitive Edge	30+ years of expertise, unparalleled geo-coverage	25+ years of deep domain expertise, strong reputation
Comparable Companies	Competing with new-age tech players in digital transformation	Competing with global HealthTech players
Valuation	High growth potential in nascent markets, trading at 54.6x FY26 EPS	Strategic position in underpenetrated healthcare market, trading at 23.8x FY26 EPS

Source: MNCL Research

Key Management Personnels Details

Exhibit 44: Management Organization Structure



Source: Company, MNCL Research Estimates

Dr. Rajesh Bhaskaran Nair (Non-Executive Director) has 25 years of experience in technology-led healthcare solutions provider sector. He is the President of Indegene, Inc. since 2005. He was first appointed as a Director on the Board of the company in 1998.

Manish Gupta (Co-founder and CEO) is the Chairman, Executive Director and the Chief Executive Officer of the company. He has 24 years of experience in technology-led healthcare solutions provider sector. He has been Director of the company since 2000.

Anand Kiran (Executive vice president – global operations) has 23 years of experience in technology-led healthcare solutions provider sector. He joined Indegne in 2000 as Head – Scientific Solutions.

Gaurav Kapoor (Executive Vice President) has 23 years of experience in technology-led healthcare solutions provider sector. He joined Indegne in 2000 as Manager – Marketing & Business Development.

Dr. Sanjay Suresh Parikh (Executive Director and Executive Vice President) has 31 years of experience in pharmaceuticals industry and technology-led healthcare solutions provider sector. He was appointed as a Director on the Board of the company in 2002.

Sameer Lal (Senior Vice President) has 26 years of experience in pharmaceutical industry and technology-led healthcare solutions provider sector. He joined Indegene in 2006 as general manager – programme management.

Viveksheel Ghai (Executive Vice President) has 23 years of experience in life science and technology-led healthcare solutions provider sectors. He joined Indegene, Inc. in 2011 as senior vice president - business development.

Suhas Prabhu (Chief Financial Officer) has 21 years of experience in finance. Prior to joining the company, he was associated with Sasken Communication Technologies Ltd. He has been associated with the company for over 18 years.

Appendix 1: Indegene Financials

Exhibit 45: Consolidated Income Statement

Particulars (INR mn)	FY20	FY21	FY22	FY23	FY24	FY25E	FY26E	FY27E
Total Income	6,455	9,960	16,897	23,538	26,363	30,488	35,481	41,550
Employee Benefit Expense	3,699	5,356	10,143	14,648	16,516	18,911	21,884	25,461
Other Expenses	1,294	2,001	3,633	4,452	4,326	4,860	5,605	6,618
EBITDA	**1,462**	**2,603**	**3,120**	**4,439**	**5,521**	**6,717**	**7,992**	**9,471**
EBITDA Margins	*22.6%*	*26.1%*	*18.5%*	*18.9%*	*20.9%*	*22.0%*	*22.5%*	*22.8%*
Depreciation & amortization	193	255	335	598	761	819	960	1,166
EBIT	**1,269**	**2,347**	**2,786**	**3,841**	**4,760**	**5,898**	**7,032**	**8,306**
EBIT Margins	*19.7%*	*23.6%*	*16.5%*	*16.3%*	*18.1%*	*19.3%*	*19.8%*	*20.0%*
Finance Costs	88	70	60	313	494	361	68	44
Share of (loss)/profit	5	(2)	-	-	-	-	-	-
Exceptional Item	(437)	30	(469)	-	24	-	-	-
Interest Income	9	9	8	103	296	250	269	300
PBT	**758**	**2,315**	**2,265**	**3,630**	**4,586**	**5,787**	**7,233**	**8,561**
PBT Margins	*11.7%*	*23.2%*	*13.4%*	*15.4%*	*17.4%*	*19.0%*	*20.4%*	*20.6%*
Tax	261	458	637	969	1,219	1,457	1,821	2,155
PAT	**497**	**1,857**	**1,628**	**2,661**	**3,367**	**4,330**	**5,412**	**6,407**
PAT Margin	*7.7%*	*18.6%*	*9.6%*	*11.3%*	*12.8%*	*14.2%*	*15.3%*	*15.4%*
EPS	**2.52**	**9.40**	**7.50**	**12.03**	**15.19**	**18.10**	**22.62**	**26.78**

Source: Company, MNCL Research Estimates

Exhibit 46: Consolidated Balance Sheet

Particulars (INR mn)	FY20	FY21	FY22	FY23	FY24	FY25E	FY26E	FY27E
PPE	120	231	337	406	340	306	379	202
Right-of-use assets	276	233	462	1,050	804	552	333	149
Goodwill	530	290	409	3,261	3,330	3,330	3,330	3,330
Other intangibles	266	105	169	1,924	1,984	1,652	1,237	683
Other Non-Current Assets	634	508	857	910	1,090	1,090	1,090	1,090
Total Non-Current Assets	**1,827**	**1,367**	**2,234**	**7,552**	**7,548**	**6,930**	**6,370**	**5,454**
Investments	-	-	1,199	6,140	7,965	7,965	7,965	7,965
Trade Receivables	2,236	2,854	4,439	6,420	6,480	7,107	8,058	8,845
Cash and Equivalents	1,803	1,399	5,173	858	1,910	5,202	7,301	14,079
Other Current Assets	136	340	490	1,068	1,553	1,746	1,764	1,723
Total Current Assets	**4,176**	**4,593**	**11,300**	**14,487**	**17,908**	**22,020**	**25,088**	**32,613**
Total Assets	**6,002**	**5,960**	**13,535**	**22,039**	**25,456**	**28,950**	**31,458**	**38,066**
Equity Share Capital	3	3	4	443	444	444	444	444
Other Equity	(1,050)	3,242	7,635	10,194	13,847	18,177	23,590	29,996
Non-controlling Interest	891	86	-	-	-	-	-	-
Total Equity	**(156)**	**3,331**	**7,639**	**10,637**	**14,291**	**18,621**	**24,034**	**30,440**
Borrowings	3,407	177	109	3,943	3,334	333	167	257
Lease Liabilities	195	134	329	852	652	300	115	(36)
Other Financial Liabilities	-	201	788	1,365	638	638	638	638
Provisions	91	123	265	350	432	432	432	432
Total Non-Current Liabilities	**3,693**	**635**	**1,491**	**6,510**	**5,056**	**1,703**	**1,352**	**1,290**
Borrowings	1,105	71	73	-	697	3,001	167	110
Lease liabilities	123	132	146	230	213	252	218	185
Trade payables	308	502	742	733	1,181	977	1,130	1,230
Other Current Liabilities	930	1,290	3,443	3,928	4,018	4,395	4,557	4,810
Total Current Liabilities	**2,466**	**1,994**	**4,404**	**4,891**	**6,109**	**8,625**	**6,072**	**6,335**
Total Equity and Liabilities	**6,002**	**5,960**	**13,535**	**22,039**	**25,456**	**28,950**	**31,458**	**38,066**

Source: Company, MNCL Research Estimates

Exhibit 47: Cash Flow Statement

Particulars (INR mn)	FY20	FY21	FY22	FY23	FY24	FY25E	FY26E	FY27E
PBT	151	1,958	2,265	3,630	4,586	5,787	7,233	8,561
D&A	328	346	335	598	761	819	960	1,166
Finance Costs	68	55	47	233	471	361	68	44
Exceptional items	437	(30)	469	-	-	-	-	-
Other Adjustments	100	(198)	20	83	(450)	(250)	(269)	(300)
Changes in Working Capital	(592)	85	538	(2,160)	958	(647)	(654)	(393)
Income Tax	(270)	(496)	(703)	(1,082)	(1,249)	(1,457)	(1,821)	(2,155)
CFO	**223**	**1,720**	**2,970**	**1,302**	**5,077**	**4,613**	**5,517**	**6,924**
Purchase of PPE	(61)	(206)	(247)	(188)	(107)	(200)	(400)	(250)
Interest received	9	9	3	66	261	250	269	300
Acquisition & Investments	(133)	(45)	(1,358)	(8,811)	(3,426)	-	-	-
CFI	**(185)**	**(242)**	**(1,602)**	**(8,933)**	**(3,272)**	**50**	**(131)**	**50**
FCF	**1,867**	**1,944**	**1,698**	**5,441**	**3,237**	**5,707**	**6,425**	**7,459**
Proceeds from Issue	0	-	2,629	0	-	-	-	-
Shares Repurchase	-	(16)	(10)	-	-	-	-	-
Others	952	-	(25)	-	-	-	-	-
Financial Charges	(169)	(188)	(194)	(430)	(595)	(674)	(286)	(229)
Proceeds from loans (net)	581	(1,111)	(65)	3,761	(67)	(697)	(3,001)	33
CFF	**1,364**	**(1,315)**	**2,335**	**3,331**	**(662)**	**(1,371)**	**(3,287)**	**(196)**
Net Changes	**1,401**	**163**	**3,703**	**(4,300)**	**1,143**	**3,292**	**2,099**	**6,778**
Beginning CCE	**310**	**1,739**	**1,334**	**5,063**	**736**	**1,886**	**5,178**	**7,277**
Ending CCE	**1,739**	**1,334**	**5,063**	**736**	**1,886**	**5,178**	**7,277**	**14,055**

Source: Company, MNCL Research Estimates

Exhibit 48: Key Ratios

Particulars	FY20	FY21	FY22	FY23	FY24	FY25E	FY26E	FY27E
Growth %								
Operating Revenue	NA	50.3%	72.3%	38.5%	12.3%	15.1%	16.0%	16.6%
EBITDA	NA	78.0%	19.9%	42.3%	24.4%	21.7%	19.0%	18.5%
EBIT	NA	85.0%	18.7%	37.9%	23.9%	23.9%	19.2%	18.1%
PAT	NA	NA	9.0%	63.4%	26.5%	28.6%	25.0%	18.4%
Margins %								
EBITDA	22.6%	26.1%	18.5%	18.9%	20.9%	22.0%	22.5%	22.8%
EBIT	19.7%	23.6%	16.5%	16.3%	18.1%	19.3%	19.8%	20.0%
PAT	-1.9%	15.0%	9.6%	11.3%	12.8%	14.2%	15.3%	15.4%
Returns Ratio %								
ROAE	NA	43.5%	21.0%	24.5%	23.1%	22.7%	22.0%	20.4%
ROACE	NA	62.6%	42.5%	29.2%	26.1%	29.7%	30.8%	29.1%
ROAIC	NA	59.2%	34.1%	23.0%	20.3%	23.5%	24.2%	22.6%
Leverage Ratio								
Asset/Liability	1.0x	2.3x	2.3x	1.9x	2.3x	2.8x	4.2x	5.0x
Debt to Equity	-28.9x	0.1x	0.0x	0.4x	0.3x	0.2x	0.0x	0.0x
Net Debt to Equity	-17.4x	-0.3x	-0.7x	0.3x	0.1x	-0.1x	-0.3x	-0.5x
Interest coverage	14.36x	33.74x	46.71x	12.26x	9.64x	16.35x	103.38x	187.92x
Debt/EBITDA	3.1x	0.1x	0.1x	0.9x	0.7x	0.5x	0.0x	0.0x

Source: MNCL Research Estimates

Appendix 2: Relative Analysis

Exhibit 49: Industry Data across Key Metrics

Particulars (US$ mn)	Market Cap.	Revenue			Revenue CAGR		EBITDA Margin			Forward P/E Multiples		
		2022	2023	2024	FY21-24	FY24-26E	2022	2023	2024	2024	2025E	2026E
Indegene	**1,614**	**204**	**284**	**318**	**38.3%**	**16.0%**	**18.5%**	**18.9%**	**20.9%**	**39.8x**	**30.9x**	**24.8x**
Global HealthTech Companies - CROs										**27.6x**	**23.9x**	**20.9x**
IQVIA Holdings	38,521	14,410	14,984	15,469	3.7%	6.9%	23.7%	23.2%	24.1%	19.2x	17.1x	15.1x
Icon PLC	26,083	7,741	8,120	8,650	16.4%	7.5%	19.1%	20.4%	21.4%	21.0x	18.2x	16.1x
Veeva Systems	30,095	1,851	2,155	2,364	17.3%	13.5%	29.6%	23.4%	20.2%	34.3x	30.2x	27.4x
Medspace	12,625	1,460	1,886	2,170	23.8%	16.0%	22.4%	20.7%	20.0%	36.0x	30.8x	26.2x
Globant	7,541	1,780	2,096	2,425	23.2%	18.2%	19.6%	24.8%	20.4%	27.3x	23.1x	19.4x
Midcap Global HealthTech Companies - CROs										**35.1x**	**27.3x**	**22.4x**
Certara	2,149	336	354	390	10.9%	10.5%	28.0%	28.0%	31.7%	30.7x	25.8x	22.5x
Endava	1,623	871	957	946	16.0%	12.0%	19.1%	18.0%	13.8%	19.5x	17.0x	11.6x
Model N	1,182	219	249	263	10.8%	10.5%	2.8%	5.6%	19.1%	24.1x	20.2x	15.9x
Simulations Plus	954	54	60	71	15.0%	16.3%	35.8%	28.6%	35.0%	87.2x	60.9x	50.8x
Definitive Healthcare	809	223	251	258	15.8%	6.6%	13.5%	9.3%	32.0%	14.0x	12.7x	11.2x
Global Pharma Companies										**25.3x**	**20.9x**	**17.9x**
Eli Lily	859,746	28,541	34,124	42,988	14.9%	21.0%	34.3%	34.7%	37.4%	66.0x	47.3x	35.7x
J&J	354,239	79,990	85,159	88,456	-2.0%	3.2%	38.8%	44.8%	36.6%	13.9x	13.5x	12.8x
Merck and co	336,661	59,283	60,115	64,229	9.7%	9.0%	41.3%	18.2%	45.1%	15.5x	13.4x	12.3x
Abbvie	301,522	58,054	54,318	55,249	-0.6%	6.5%	55.0%	49.0%	46.3%	15.6x	14.5x	12.7x
Pfizer	158,608	100,330	58,496	60,577	-9.3%	2.0%	43.7%	20.2%	42.2%	11.9x	10.3x	9.7x
Zoetis	76,648	8,080	8,544	9,152	5.6%	6.4%	45.7%	43.9%	42.0%	29.3x	26.4x	24.1x
Indian Pharma Companies										**34.0x**	**29.8x**	**26.5x**
Sun Pharma	43,675	5,158	5,389	5,771	9.0%	11.0%	27.7%	27.7%	27.5%	38.1x	33.4x	28.7x
Cipla	14,292	2,902	2,799	3,075	6.0%	10.0%	21.1%	23.0%	24.7%	29.0x	25.8x	23.1x
Zydus Lifesciences	12,833	1,990	2,102	2,298	6.0%	11.0%	21.7%	21.2%	25.0%	27.9x	25.7x	24.3x
Dr Reddy Laboratories	12,118	2,878	3,062	3,373	10.0%	6.4%	22.3%	28.8%	28.3%	18.1x	17.5x	20.0x
Torrent Pharma	11,300	1,130	1,179	1,276	5.5%	12.7%	28.9%	29.6%	31.9%	57.0x	46.5x	36.5x
Indian MidCap IT Companies										**47.8x**	**38.0x**	**30.5x**
Persistent Systems	7,283	766	1,040	1,187	28.0%	15.0%	17.0%	18.2%	17.1%	55.6x	45.4x	36.3x
L&T Technology	6,132	882	1,098	1,166	17.0%	11.0%	21.5%	20.0%	19.7%	39.3x	36.5x	31.0x
Mphasis	5,472	1,606	1,718	1,604	7.0%	10.3%	17.9%	18.0%	18.2%	29.4x	26.7x	23.0x
Tata Elxsi	5,283	332	392	429	20.0%	14.0%	31.0%	30.6%	29.5%	55.8x	49.3x	39.8x
Coforge	4,250	863	998	1,109	21.0%	15.5%	17.1%	16.0%	15.6%	40.8x	31.4x	25.5x
Zensar Technologies	2,037	570	604	592	5.0%	9.4%	14.4%	10.6%	17.8%	25.8x	26.0x	22.9x
Cyient	703	98	104	144	18.6%	33.0%	12.6%	11.2%	9.3%	88.2x	50.4x	34.7x

Source: MNCL Research Estimates

The IPO Journey: From Private to Public

Indegene was listed on BSE and NSE on 13th May'24. The company raised INR 18.4bn via IPO, which included a fresh share sale of INR 7.6bn and an offer-for-sale of up to INR 10.8bn. The issue price was in the range of INR 430-452 at a valuation of 31.1x FY24E earnings. The proceeds were utilized for the following purposes:

- INR 3.9bn to repay debt of one of their material subsidiaries, ILSL Holdings
- INR 1bn to fund the capital expenditure for upgrading infrastructure and procuring computer equipment of one of its material subsidiaries, Indegene Inc.
- Remaining funds for general corporate purposes, including potential acquisitions, joint ventures and strategic investments

Exhibit 50: Shareholding Pattern – Pre and Post IPO

Particulars	Pre-Issue	Post-Issue
Public-Individual selling	19.9%	16.2%
Public-Investor selling	36.7%	26.4%
Public	43.2%	57.2%
Employee trust	0.2%	0.2%
Total	**100.0%**	**100.0%**

Source: Company, MNCL Research

The company is a professionally managed company and does not have an identifiable promoter in terms of the SEBI ICDR Regulations and the Companies Act. The largest shareholders include Nadathur Group (through Nadathur Fareast Pte. Ltd. and Vida Trustees Private Limited), Ca Dawn Investments (Carlyle-backed) and Brighton Park with 24.4%, 14.52%, and 9.55%, respectively shareholding in the company. Amongst KMPs Manish Gupta holds 8.97% followed by Rajesh Nair and Sanjay Parikh with 7.13% and 5.01% shareholding respectively. The below table captures the shareholding summary as on 31 Mar'24.

Exhibit 51: Shareholding Pattern as on 31st March 2024

Particulars	Mar-24
DIIs	**5.3%**
FIIs	**3.6%**
Private Equity Investors	**48.4%**
Nadathur Group	*24.4%*
Ca Dawn Investments	*14.5%*
Brighton Park Capital	*9.6%*
KMPs	**25.9%**
Sanjay S Parikh	*5.0%*
Rajesh Bhaskaran Nair	*7.1%*
Manish Gupta	*9.0%*
Anand Kiran	*2.2%*
Gaurav Kapoor	*2.6%*
Public (excl. KMPs, PEs)	**16.6%**
ESOP	**0.2%**
Total	**100.0%**

Source: Company, MNCL Research

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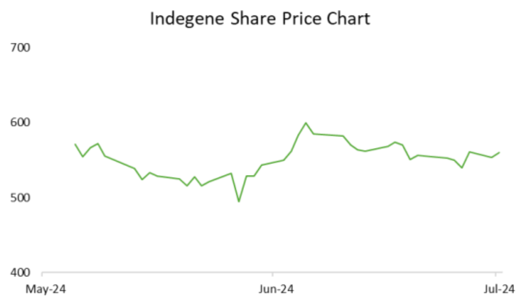

Key to MNCL Investment Rankings

Buy: Upside by >15%, Accumulate: Upside by 5% to 15%, Hold: Downside/Upside by -5% to +5%, Reduce: Downside by 5% to 15%, Sell: Downside by >15%

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